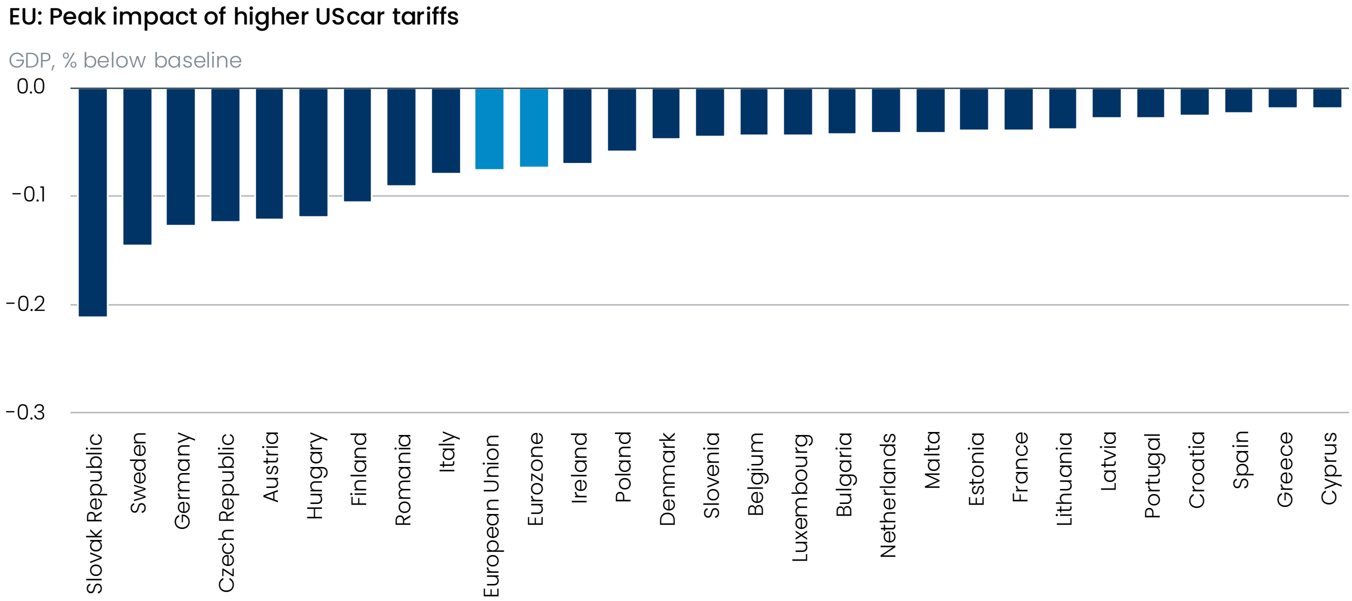
Auto tariffs would be another roadblock to growth

- **Odds are US president Trump's threat to raise US tariffs on EU auto imports to 25% will end up being a negotiation tactic, so we're not incorporating them into the baseline until they are officially implemented. The auto tariff hike above the 15% flat fee agreed last year would lift the effective US tariff rate to around 10.6% from 8.9% in the current baseline, adding another drag on Eurozone GDP growth this year.**
- **The economic hit isn't large but uneven. Assuming the tariff hike extends to car parts, Eurozone GDP would fall 0.1% below baseline. Germany would see a similar hit to GDP, while the growth drag would be smaller in Italy and negligible in France and Spain. Slovakia would feel the most pain within the EU (-0.2%) given its large indirect exposure to US exports via supply chains.**
- **Despite large declines, the EU still sent a fifth of its car and truck exports to the US last year, but that makes up only 1.2% of total exports. The hit to export growth this year would the main drag on the economy. Investment and employment typically suffer as well. But our baseline already assumes these to flatline and the shock is probably not large enough to warrant a change to the forecast.**

US auto tariffs on EU imports rising to 25% would be another drag on an economy already reeling from last year's tariffs, a growing energy price shock and continued losses in global market shares to China. However, we think it is more likely than not, that the threat is used to incentivize a quicker EU implementation of last year's trade deal. It is also unclear, if the higher tariffs would apply only on autos or if vehicle parts are included. Therefore, we do not plan on incorporating the tariffs into our baseline until there is greater clarity and this would come via the White House issuing a Fact Sheet.

Chart 1: Slovakia, Sweden and Germany would be hit hardest if US hikes tariffs on cars and car parts to 25%



Source: Oxford Economics

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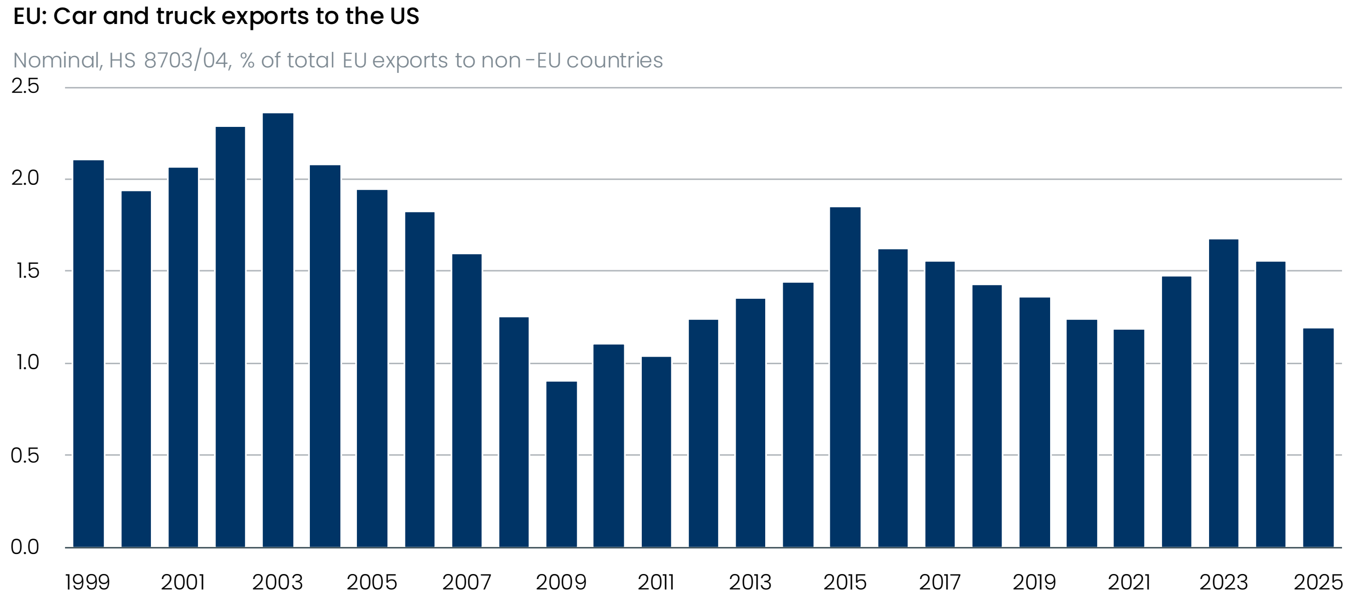
If the US ends up imposing these tariffs it would be a noticeable additional drag on certain sectors. Cars and trucks still stand for around 1.2% of the EU's total exports (Chart 2), despite falling sharply in the wake of last year's tariffs. Moreover, they continue to play a significant role in EU exports to the US, making up around 6% of total US-bound exports by the EU.

Chart 2: Exposure to US car exports remains high even after falling to second lowest level in 14 years

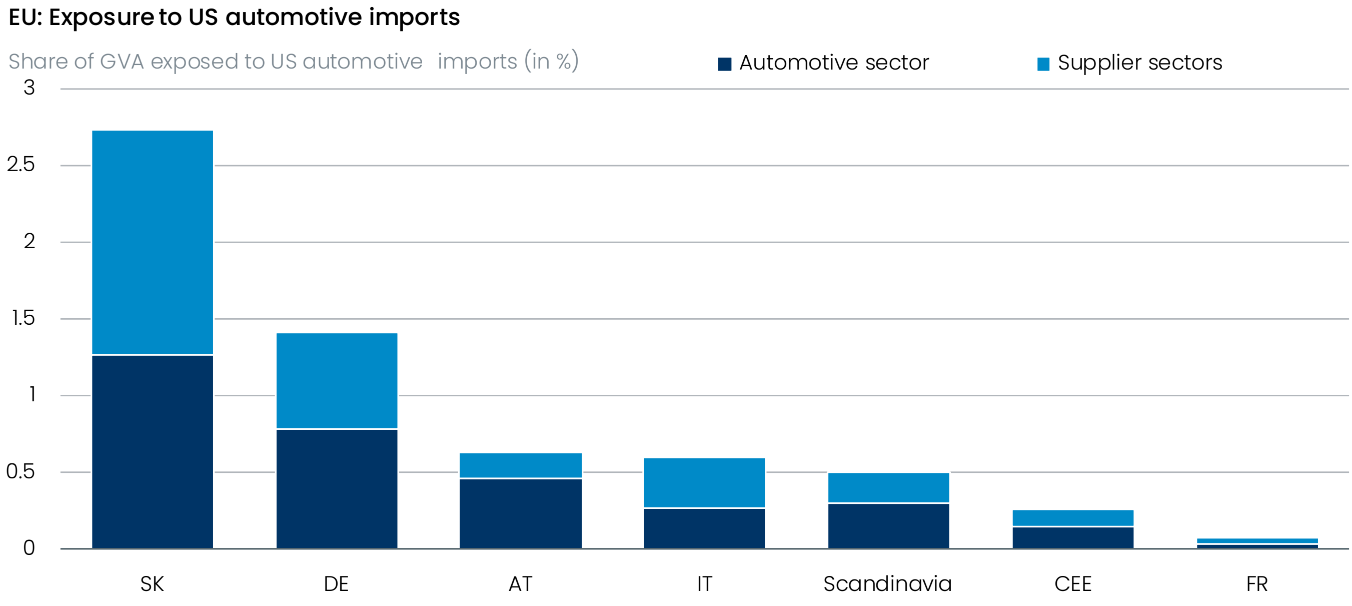


Sources: Oxford Economics, Haver Analytics

There is uncertainty about the specific threat made by US president Trump. His social media post quoted "cars and trucks". However, this may well be extended to vehicle parts, which would materially increase the pain for European exporters, roughly doubling the share of affected EU exports. Therefore, the sizeable rise in tariffs on these goods could lift the effective US tariff rate on EU imports to as high as 10.6%, 2ppt higher than in the current baseline. The effective tariff rate would stay below 10%, though, if the tariff increase didn't include parts.

Across EU countries, the exposure to higher US car tariffs varies widely. Among the larger EU economies, Germany stands out given its exposed position as Europe's main car producer. Looking at the wider automotive sector and adding the indirect effects via supply chains and intermediate goods demand, nearly 1.5% of German GDP are exposed to higher US car tariffs. For Slovakia, the exposure amounts to over 2.5% of GDP. In other economies, it is generally around or under 0.5% of GDP (Chart 3).

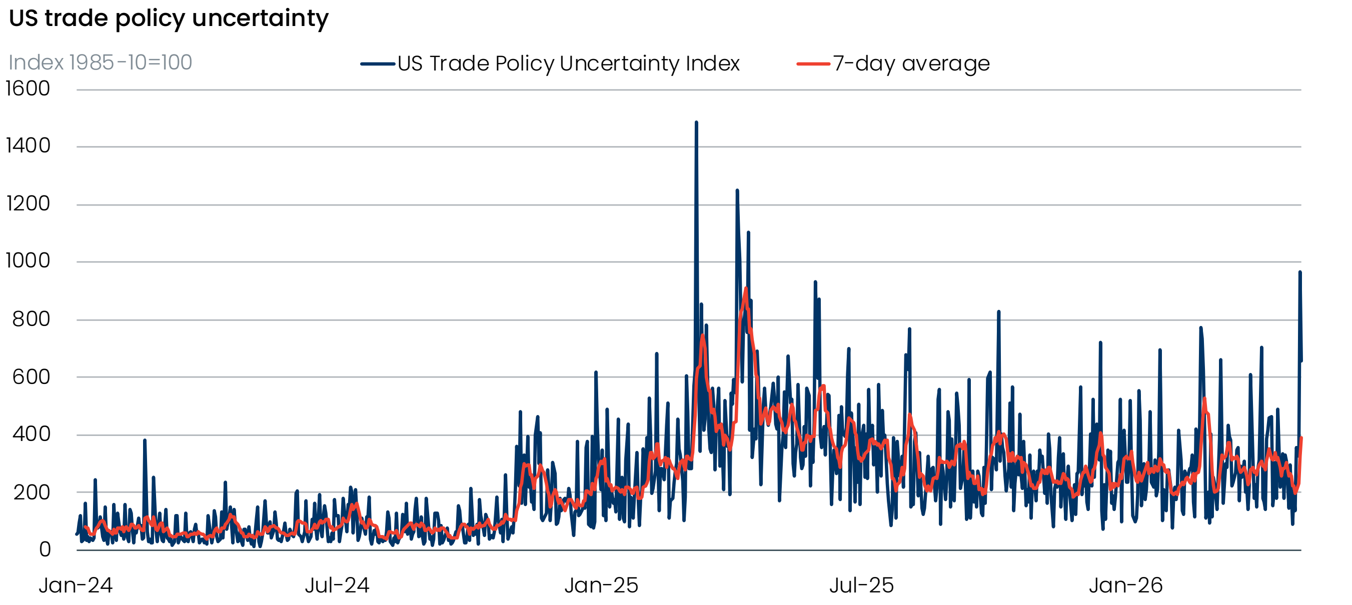
Chart 3: Large direct and indirect exposures to US car demand let Germany and Slovakia stand out



Sources: Oxford Economics, European Commission

In a scenario, in which the US raises its tariffs on EU imports of cars, trucks and parts to 25% in Q3, our Global Economic Model points to the Eurozone GDP level falling nearly 0.1% below baseline (Chart 1). In line with the heterogenous exposure across countries, Slovakia, Germany, and Sweden would likely be hit the hardest.

Chart 4: Uncertainty spike in the wake of Trump's announcement



Sources: Oxford Economics, Haver Analytics

The indirect economic cost from higher tariffs may be smaller than usual. Typically, the adverse impact from lower exports and higher uncertainty on corporate investment are an important amplifier in our model simulations. However, the affected share of the economy is small. In addition, trade policy uncertainty remained elevated, even after last year's trade war calmed down. Therefore, the model response may overstate the effects as businesses have adapted to elevated uncertainty. However, there is also a counter point. The renewed tariff threats could undermine any corporate belief, that US trade policy will become more predictable allowing for a stable corporate planning environment. Combining this with the wider economic uncertainty stemming from the looming energy crisis continues to support our below-consensus GDP forecast for the Eurozone, much of which is due to a weak forecast for corporate investment.